well as human compensation, continues to rise, they are likely to witness increasing frictional costs over the decades.

GEICO was founded in the early 1930s and has always focused on selling direct. In its case, this arbitrage spread has lasted over 70 years and, amazingly, shows no signs of narrowing. All arbitrage spreads eventually disappear, and this one is no exception. Even though the spread has increased over the decades, it will eventually close.

GEICO and Progressive are both direct writers of auto insurance and have about 13 percent of the U.S. auto insurance market. This 13 percent was much smaller a few years ago, and it will likely be much larger in the coming decades. State Farm and Allstate have about 30 percent of the market, and their losses are likely to be GEICO's and Progressive's gains. It is very difficult for State Farm and Allstate to replicate the GEICO model without alienating their agents and jeopardizing their core business.

Over the next few decades, as direct auto insurance selling becomes the norm, GEICO will mostly compete with other direct writers (like Progressive) and the arbitrage spread will be gone. Our barber had an arbitrage spread that lasted just a year or two. GEICO's arbitrage spread is likely to last for nearly a century. In both cases, a brand was built that gave them a stable revenue base with existing customers. On the strength of the brand, the business is likely to be around even after the original spread is gone. However, growing above the rate of the economy is likely to become very hard in a few decades.

Sniffing out an available arbitrage opportunity is what prompts entrepreneurs to embark on journeys that have lead to the creation of compelling businesses. When Leo Goodwin started GEICO, he probably never thought of it as being an arbitrage-type play. Yet, that's exactly what GEICO was, and still is, all about. He saw no one was selling auto insurance direct. He thought it made all the sense in the world and started his journey. Ray Kroc never thought he was engaging in arbitrage either; but that's exactly what the McDonald's business model was all about. There was an offering gap that Ray Kroc stepped in to fill. Howard Schultz is similarly filling another offering gap with Starbucks. Eventually, all these